Article | 22 June 2026 GERMANY

# Germany’s reform train is picking up steam

Proposals to reform the German pension system are clearly a good step in the right direction. It s now up to the government to show its own reform elan and implement the plans as quickly as possible


Fans flood into Fröttmaning for a World Cup match - a surge not unlike the demographic wave facing Germany’s pension system

Germany can still win its opening World Cup matches and, it seems, still deliver reform. That's the main takeaway from the weekend. For the first time since 2006, the national team started the tournament with two wins, keeping faint hopes of a title and a broader turnaround alive. Now, economic reforms may be following suit.

Officially, the so‑called pension commission, a 13‑member task force appointed by the governing coalition, will present its proposals on Tuesday. News reports on Saturday detailed 33 proposals to reform Germany’s pension system. The government now has to adopt and implement these proposals. Parliament will also have a say.

Earlier, some government members suggested that a full reform package, including healthcare and tax reforms, would be presented before the parliamentary summer break next Tuesday. We remain sceptical that the government can deliver such broad measures in that timeframe. The proposals unveiled so far risk being too little, and potentially too late. Still, there are clear signs that reform is gaining momentum.

## Last year's reform was a patch, not a fix

To understand the scale of today's pension‑reform push, you have to rewind to December – when the governing coalition nearly came apart over what some members saw as the first, tentative push for change. Others saw it as little more than a costly extension of the status quo. Ultimately, the government agreed to keep the statutory pension level locked at 48% of average wages through 2031, rather than allowing it to drift down toward 45% under the previous formula. This means workers who contributed to the statutory system for 45 years and retire by 2031 will receive 48% of the average German wage as a state pension. Without this decision, the level could have fallen to 44.9% by 2040.

That guarantee, however, does not come for free. Nothing involving 21 million pensioners and a shrinking workforce ever does. The contribution rate is set to rise from 18.6% to 18.8% from 2027. The package also introduced a few quieter measures on 1 January: an expanded "mother's pension" crediting childcare years more generously; a relaxation of the rules preventing pensioners from returning to their old employer; and the so-called Aktivrente, a tax break for people who work past the statutory retirement age of 67. Last year's reform amounted to little more than a pretence that the status quo could be extended forever.

## Why a fix is needed

Meanwhile, pressure on the pension system continues to build like an avalanche. Germany's old-age dependency ratio – people 65 and over relative to the working-age population – is set to rise from 34% in 2024 to 51% by 2050. Put differently, in 1992, there were 2.7 working-age people funding the pension of one retiree. In 2022, that fell to 2.0. By 2030, it will be just 1.5. That's not a gentle slope. It's a step change, arriving now because the baby boomers are retiring en masse this decade. The Federal Statistical Office's own December 2025 projections put a fine point on it: one in four Germans will be 67 or older by 2035, up from one in five in 2024. And the number of people of pensionable age will keep climbing every year through 2038, adding 3.8 to 4.5 million to the system.

Without any changes, the pressure on public finances will become almost unbearable. As a young civil servant, I helped to put the sustainability of public finances in ageing societies on the agenda of European Council meetings. This was some 25 years ago. What sounded like fiction to some back then has become a hard reality. Already, the German government is spending more than two-thirds of its annual budget on health care and the pension system. Last year's decision was a patch. The system is in urgent need of a fix.

## The proposals

This is why the government set up an independent task force with a mandate to analyse the system from the ground up. It will deliver recommendations covering not just the statutory pillar but also occupational and private pensions. As mentioned, the commission put forward 33 recommendations, supported by a broad, though not unanimous, consensus.

The headline change: the retirement age will be linked to life expectancy from 2032 onwards. The idea is a "two-to-one" rule, meaning that for every additional year of life expectancy, people work eight months longer and draw a pension for four more months. Run that through current demographic projections, and it results in a retirement age of 67.5 by 2041 and 68 by 2051. It means roughly half a year added per decade. It will be reviewed periodically rather than locked in.

Early retirement without deductions after 45 years of contributions would be abolished under the proposal. That benefit has been politically untouchable for the SPD in the past. It remains to be seen how this proposal will be received by the broader SPD, beyond the government members.

These initial proposals are clearly aimed at extending the working life, while other measures seek to broaden the contributor base. Members of parliament and freelancers would be integrated into the statutory state pension system. The commission didn't (dare to) tackle the question of how to deal with civil servants, beyond suggesting a reduction in their numbers. It also proposes limiting the so-called €600 jobs – currently exempt from social contributions – to students. These are important sources of employment in the retail sector. To be clear, these jobs won't disappear overnight, but they will become more expensive for employers.

One genuinely new idea is a mandatory, funded capital pillar explicitly modelled on Sweden's premium pension. A slice of contributions, phased in from 0.5% of gross wages to 2% and split evenly between employer and employee, would be invested in capital markets through a state-run fund and paid out individually. The aim is to use market returns to modestly raise the pension level above where the current pay-as-you-go formula alone would take it.

## It's a first fix, but regaining competitiveness needs more

All in all, the reform proposals include important elements. Case in point: linking the retirement age to life expectancy and establishing a new market-based pillar, even if the commission could've been bolder and more ambitious. The positive take is that the reform train is picking up speed. Still, this is no high‑speed train, but rather a fragile old model.

Amid all the enthusiasm, let's not forget that these changes are a bare necessity to contain pressure on public finances. They will not, by themselves, make the German economy more competitive. For that, the government will have to do more.

To return to the World Cup analogy: winning two matches and reaching the next round should be the bare minimum for Germany's national team. Bringing trophies home will require more than that.

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### Disclaimer

Article | 18 June 2026

# What the US-Iran Memorandum of Understanding means for macro and markets

The US and Iran have signed a preliminary MoU outlining a ceasefire, some economic concessions and the reopening of the Strait of Hormuz, triggering market relief but marking only the start of negotiations rather than a final deal

US President Donald Trump and Iranian President Masoud Pezeshkian have signed a peace deal

Now it's official. Last night, US President Donald Trump signed the Memorandum of Understanding (MoU) between the US and Iran in Versailles. According to news reports, Iranian President Masoud Pezeshkian also signed the document on Wednesday.

The MoU between the US and Iran outlines the terms of their ceasefire, the reopening of the Strait of Hormuz, some financial relief for Iran, and Tehran's renewed pledge to never produce a nuclear weapon. Under the draft agreement, the US will allow Iran to sell its oil and petrochemical products, and Tehran may be able to tap into a US$300bn development fund if it meets commitments related to its nuclear programme in further negotiations. The document does not include specifics on what will become of Iran's highly enriched uranium. With the signing of the MoU, a 60-day (though extendable) negotiation period starts, in order to flesh out further details.

The relief in financial markets after the initial Sunday evening announcement was palpable – relief that a three-and-a-half-month war could be nearing its end. We will leave it to the real geopolitical analysts to decide whether the world has become a better place under the new deal compared with the situation in February. For now, it appears the MoU may have softened some of the red lines set by the US in the early stages of the conflict. What is clear, however, is the fact that the MoU is not yet a deal but rather the start of negotiations and the agreement to open the Strait of Hormuz during these negotiations. Whether these negotiations will eventually succeed is a different matter.

On a different note, and at least for a short while, recent developments have brought the US and the rest of the G7 closer together. This week's G7 meeting must have been one of the more harmonious meetings in recent times. But before getting overly enthusiastic about a new spring of multilateral relations, that harmony may simply reflect pragmatism: the US government needs some backing from Europe for the negotiations with Iran, and Europeans need some US backing for potential negotiations with Russia.

So, the relief in financial markets should not be mistaken for a complete dissolution of geopolitical risks but rather as a reaction to the reopening of the Strait of Hormuz. Oil prices have dropped already, taking away some recent inflation fears. In our view, however, markets may be slightly too optimistic regarding the speed of the reopening. Mines will have to be discovered and removed, insurance premiums will have to be determined and vessels will actually have to be loaded and start passing through the Strait again. This will be a very gradual process. It should take several months before traffic in the Strait will be back to pre-war levels.

With relief in oil markets, the recent wave of inflation will not stop abruptly, but it will be shorter-lived than assumed just a few weeks ago. For central banks, it could bring back the infamous word 'transitory', giving central bankers even more of a headache in terms of whether to hike interest rates or not.

Even though we released our last Monthly Update a week ago, the latest developments clearly call for an update of our forecasts. This is why we have developed new oil price scenarios based on those updated macro and market forecasts. The bottom line is that inflationary pressures will be slightly shorter-lived, the adverse impact of higher energy prices on growth will be more limited and central bankers will be more reluctant to hike aggressively, or to hike at all. Except, perhaps, for the European Central Bank, which has pushed itself into a corner, making it harder to wriggle out of a second rate hike. Some ECB officials might already regret the timing of the ECB's meeting calendar….

If the MoU really is the start of successful negotiations, we could eventually return to a macro world that we had actually expected at the start of this year: a gradually recovering global economy with risks of inflation undershooting and central bank rate cuts. An almost beautifully boring economic outlook, or is that wishful thinking?

## Our new energy scenarios

*Note: Price forecasts are period averages*

| | Disruption rate (%) | | | | | | Oil supply lost (m barrels) | Brent forecast (USD/bbl) | | | Gas supply lost (bcm) | TTF forecast (EUR/MWh) | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | May | Jun | Jul | Aug | Sep | Oct | | Q2 | Q3 | Q4 | | Q2 | Q3 | Q4 |
| ING base 1 | 100 | 50 | 25 | 13 | 7 | 5 | 1720 | 97 | 87 | 85 | 37 | 47 | 45 | 48 |
| Deal failure 2 | 100 | 100 | 100 | 50 | 30 | 20 | 2690 | 100 | 110 | 100 | 58 | 52 | 60 | 70 |
| Re-escalation 3 | 100 | 100 | 100 | 100 | 100 | 50 | 4030 | 100 | 160 | 140 | 75 | 52 | 80 | 85 |

Source: ING

## Our new oil price scenarios

**Base case: This is it – we have a deal!**

A 60-day ceasefire is signed and both sides work towards a more permanent deal. This is difficult to reach given the sticking points. However, the US and Iran manage to agree a longer-term deal, even if it doesn't fully address all the issues. As a result, blockades are lifted, allowing tankers to leave the Persian Gulf, although it will take time to remove mines from the water. The signing of the deal, however, gives shippers confidence to send vessels into the Persian Gulf, allowing for a quick recovery in flows through the Strait of Hormuz.

A willingness for shippers to return to the Persian Gulf allows upstream production to return at a quicker pace. An easing in some Iranian sanctions means that Iranian exports bounce back, with exports eventually above pre-war levels.

**Scenario 2: 60-day negotiations get stuck**

This scenario is essentially aligned with our previous base case. After the signing of the MoU, the negotiations get stuck, and we see some minor re-escalation as a result. Energy flows remain heavily constrained until the end of July. The market reaches an inflection point around this period, where prices spike higher due to increasingly tight stocks. These higher prices lead to renewed efforts to come to a deal which sees Strait of Hormuz oil flows resuming.

**Scenario 3: Re-escalation**

The 60-day negotiations break off at some point, followed by significant re-escalation between the US and Iran. Strait of Hormuz flows remain heavily constrained due to attacks/strikes resurfacing. Iranian proxies get more involved. The Houthis disrupt Saudi Red Sea oil exports while the UAE's Fujairah is targeted, along with regional energy infrastructure.

Essentially, this heavily disrupts flows until at least year-end, with peak disruption over 3Q, a seasonally stronger period of demand. Prices need to spike higher to ensure adequate demand destruction to rebalance the oil market.

## Our calls for central banks

**Federal Reserve:** Despite a more hawkish Fed, we continue to think a prolonged pause is more likely than a rate hike. Our base case has inflation coming down to 3.6% in the fourth quarter and close to the 2% target by next summer. That's on account of subdued wages, falling energy prices, fading tariff impacts and slowing housing inflation.

**European Central Bank:** After last week's decision, we still expect a second rate hike this summer, even with the fall in energy prices. Yet inflation is now set to peak lower and is likely to fall towards 3% in 4Q in our base case. Once it becomes clearer that there's minimal sign of second-round effects, and in the absence of a pick-up in growth, we look for a single rate cut in mid-2027 to unwind some of the "insurance" provided by this summer's tightening.

**Bank of England:** The Iran deal has made the BoE's life easier and a prolonged pause now looks likely. Inflation is set to peak around 3.5% and officials, on balance, seem to be more confident that second-round effects will be minimal. We agree and see a return to rate cuts in 2027.

## Our new scenarios

| | | 1 ING Base | | | | 2 Deal failure | | | | 3 Re-escalation | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 18 June | Q2 | Q3 | Q4 | Q4 2027 | Q2 | Q3 | Q4 | Q4 2027 | Q2 | Q3 | Q4 | Q4 2027 |
| Brent Crude (USD/bbl) | 78 | 97 | 87 | 85 | 72 | 100 | 110 | 100 | 77 | 100 | 160 | 140 | 90 |
| Dutch TTF gas (EUR/MWh) | 41 | 47 | 45 | 48 | 32 | 52 | 60 | 70 | 43 | 52 | 80 | 85 | 55 |
| US Inflation (YoY%) | 4.2% | 3.9 | 3.5 | 3.6 | 2.2 | 3.9 | 4.4 | 4.3 | 1.6 | 4.1 | 6.0 | 6.8 | 0.4 |
| Eurozone Inflation (YoY%) | 3.2% | 3.2 | 3.3 | 3.0 | 1.9 | 3.2 | 3.9 | 3.8 | 1.8 | 3.3 | 5.8 | 5.9 | 1.8 |
| ECB Deposit Rate (%) | 2.25 | 2.25 | 2.50 | 2.50 | 2.25 | 2.25 | 2.50 | 2.50 | 2.25 | 2.25 | 2.50 | 2.75 | 2.50 |
| Fed Funds Rate (%) | 3.75 | 3.75 | 3.75 | 3.75 | 3.25 | 3.75 | 3.75 | 3.75 | 3.25 | 3.75 | 4.00 | 4.50 | 2.50 |
| 2Y EUR swap rate (%) | 2.82 | 2.80 | 2.80 | 2.70 | 2.55 | 2.90 | 2.90 | 2.75 | 2.55 | 3.00 | 3.10 | 3.20 | 2.30 |
| 10Y EUR swap rate (%) | 2.99 | 3.00 | 3.00 | 2.95 | 3.05 | 3.15 | 3.15 | 3.10 | 3.05 | 3.20 | 3.25 | 3.30 | 2.80 |
| 2Y USD swap rate (%) | 4.05 | 3.90 | 3.90 | 3.85 | 3.25 | 4.00 | 3.95 | 3.85 | 3.25 | 4.20 | 4.25 | 4.30 | 2.50 |
| 10Y USD swap rate (%) | 4.05 | 4.00 | 4.00 | 3.95 | 3.95 | 4.10 | 4.10 | 4.10 | 3.95 | 4.15 | 4.20 | 4.25 | 3.50 |
| EUR/USD | 1.1470 | 1.15 | 1.17 | 1.18 | 1.22 | 1.14 | 1.15 | 1.15 | 1.20 | 1.12 | 1.07 | 1.09 | 1.18 |

Source: ING

## Rates: Balance of risks tilted towards higher rates in the near term

Well before this deal, US breakeven inflation rates had been falling. They are now back to where they were before the war started, which is quite remarkable (US 10yr breakeven at under 2.3%; a perfect score). US real yields are structurally higher by some 40bp since before the war, which, again, is quite remarkable. We doubt they collapse lower, which is why the 10yr yield will remain elevated. The 10yr yield is holding in the 4.45% area, where it has tended to hover in recent weeks. The 10yr real yield is just above 2%, which is broadly a neutral valuation, one that we saw before the GFC / pandemic-impacted years. Barring a recession, it can hold here.

In the eurozone, the 10yr rate (take your pick of the German 10yr or Euribor) has dipped decisively below 3% as the agreement has crystallised. The big driver here is the fall in breakeven inflation, which is now down to 2% in the 10yr. It was previously at 2.4%. The juxtaposition here is between this and printed inflation in the 3% area (and still on the rise). Our gut feeling is that the 3% area is a logical staging post for the 10yr Euribor rate, while for the 10yr Bund yield, it's a range between 2.75% and 3% for the foreseeable.

Oil continues to be an important driver for rates, which means we can still expect more volatility going forward. Having said that, markets have turned more hawkish on central bank expectations, which limits the downside if oil were to drift lower. For the ECB, we identify support of at least one more 25bp hike which markets seem reluctant to break. Markets are taking the view that the damage has been done in terms of inflation and the ECB does not seem to give any pushback to this notion.

In effect, that means EUR 2Y rates will likely stay around current levels for longer or move higher if oil were to tick up again. Only later this year, when we get confirmation of benign second-round inflation effects, do we see more scope for 2Y rates to come down.

In a re-escalation scenario, we continue to see significant upside risk for rates in the near term, but the endgame should bring rates lower. A surge in oil prices and geopolitical uncertainty would weigh on growth, forcing both the ECB and Fed into a more extended easing cycle. Therefore, once the initial inflation shock eases around mid 2027, we see rates coming down sharply across the curve on the back of recession risks.

## FX: Softer energy profile should limit euro downside

Our adjustment lower in baseline energy prices means we are modestly raising our EUR/USD profile. We now see it ending the year near 1.18. Of course, that runs against the current dominant narrative in FX markets, which is a more hawkish Fed. Our preferred scenario now sees EUR/USD pressured over the next couple of months near 1.14/15, but turning higher into year-end on our call that US data will not support Fed rate hikes.

Currently, we are not looking for a sustained break below 1.14/15 because we doubt the market will price in more than 50bp of Fed tightening during what, after all, should be an adjustment in policy settings and not an outright tightening cycle.

The alternative scenarios, with higher energy prices, remain more bearish for EUR/USD. Those lower levels look even more likely in an energy shock, now that we know the Fed is closer to tightening policy.

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### Disclaimer

Article | 18 June 2026 FX CHINA INDIA

# What the US-Iran peace deal means for Asia

The peace deal and partial resumption of oil flows reduce near-term inflation risks, giving some central banks (notably Taiwan and India) room to delay tightening. However, a broad pivot remains premature, as still-elevated oil prices, rising food price risks, and second round effects keep the policy stance asymmetric and biased towards caution


## Supply relief and sentiment boost

The US–Iran peace deal should come as a significant relief for Asia, given its heavy reliance on imported energy and vulnerability to disruptions in Middle East shipping routes. As details firm up, [our base case ](#)assumes around 50% of oil flows through the Strait of Hormuz resume by end-June, with full reopening only by end-2026. Even a partial restoration of flows should meaningfully ease tightness in physical markets and reduce precautionary inventory hoarding. This, in turn, is likely to support a rebound in consumer and business sentiment, particularly in countries where recent supply uncertainties had begun to weigh on confidence and activity.

## Disinflation across Asia, with South-East Asia likely to lead the way

Lower oil prices will also be crucial in easing inflation pressures across Asia, particularly through food and fuel channels. The Philippines has seen the sharpest rise in the contribution of food and fuel to inflation and should therefore be among the biggest beneficiaries of any sustained decline in oil prices. Meanwhile, economies with high import intensity, such as India and Thailand, are also likely to see meaningful relief as lower energy costs feed through into transport, food distribution and broader price dynamics.

## Relief coming, but normalisation will lag as input costs are still elevated

Sectors such as petrochemicals, steel and rubber have borne the brunt of this margin compression, driven by elevated oil prices alongside higher freight and feedstock costs. A de-escalation in US–Iran tensions should bring some relief, particularly via lower energy and naphtha prices, helping to stabilise cost structures. However, the recovery will not be immediate. Supply chains – especially in fertilisers and other commodities, are likely to normalise only gradually, as shipment backlogs and logistical bottlenecks take time to unwind, even as traffic through the Strait of Hormuz improves.

While large economies such as India, China, Korea and Japan were partly insulated from global oil price spikes via subsidies and administrative controls, supply disruptions still pushed up input costs across manufacturing supply chains. Industries faced higher freight charges, longer delivery times and rising feedstock costs during the peak of tensions. Although input cost pressures have eased from their March–April highs, they remain above pre-conflict levels. With output prices adjusting more slowly due to weak pricing power and incomplete pass-through, corporate margins – especially in energy-intensive sectors – continue to face sustained pressure.

## Rate pivot still premature, though some central banks can delay hikes

Despite the peace deal, it remains premature to call a turning point in Asia's rate hike cycle. Central banks across the region operate with different policy reaction functions: the Philippines, for instance, focuses heavily on CPI inflation, as seen in its recent policy responses, while Bank Indonesia places greater emphasis on currency stability as its primary objective.

Even with some easing in energy-driven inflation, policymakers are likely to remain cautious.

First, oil flows are expected to resume only gradually, and the need to rebuild depleted stockpiles could keep upward pressure on demand, leaving uncertainty around the durability of any price correction. We expect Brent to average around USD 87/bbl in 3Q, still roughly 30% above pre-war levels. This could give some room for governments such as the Philippines, which did not heavily subsidise fuel, to roll back part of the earlier hikes. Gasoline prices in the Philippines have risen by around 40% since the start of the conflict; a 10% rollback could lower

CPI by about 50bp, bringing our 3Q inflation forecast to 6.5% – still well above the 4% upper target. As such, a more sustained and deeper decline in oil prices would be needed for the Bangko Sentral ng Pilipinas to reconsider the 75bp of additional rate hikes we have pencilled in for the rest of 2026.

Second, food prices remain vulnerable to weather-related shocks, particularly the rising probability of a strong El Niño-which could keep overall inflation volatile. Food-driven price pressures have already been broad-based: in the Philippines, the contribution of food to inflation has more than doubled, rising to 2.2pp in May 2026 from around 0.6pp earlier in the year.

India, Indonesia, and Thailand have also seen an uptick in food contributions to headline inflation, albeit more modestly at around 0.3–0.45pp. That said, still-moderate inflation levels in these economies and emerging downside risks to growth should give central banks some room to remain patient. For now, a wait-and-watch approach is likely, with policymakers closely monitoring how weather-related disruptions feed through to food and core inflation dynamics.

## Improved growth prospects firm up the case for rate hikes in Korea and Japan

Despite heavy reliance on Middle Eastern energy, South Korea and Japan have so far limited the impact on growth and inflation through price caps, subsidies, fiscal support, and energy import diversification from non-Middle East countries. With the latest energy scenario, we see more upside risks for growth and a more limited impact on inflation.

Korea has temporarily restricted exports of petroleum products such as naphtha to secure domestic supply, while Japan released its strategic oil reserves to mitigate the shortage of energy supplies. A peace deal would boost 3Q26 growth slightly more than expected. Improving energy supply should support growth by easing pressure on key industries and lifting confidence. For example, it should allow Korea's petrochemical output and exports to rebound and Japan's auto exports to the Middle East to recover. Restocking energy and critical materials by companies and governments should lift imports as well. More broadly, the AI boom should continue to support both economies, with Korea and Japan benefiting from strong chip exports and potential longer-term gains from post-war reconstruction, renewable-energy investment, and higher defence spending.

Meanwhile, the impact on inflation from the peace deal is likely to be limited given that inflation in both countries (3.1% year-on-year in Korea and 1.4% YoY in Japan) has been suppressed by policy measures. These temporary anti-inflation measures will be lifted once global energy prices come down. Thus, the decline of energy prices in coming months is unlikely to be significant. Meanwhile, demand-side pressures are expected to strengthen on the back of strong asset-market rallies, rising labour income, and weak currencies. We expect

CPI to accelerate in the coming quarter, above 3.5% in Korea and 1.9% in Japan.

As stronger growth is likely to feed into inflation, we see an increasing probability that both central banks may accelerate their hiking cycles, moving faster and ultimately further than previously expected. The Bank of Korea may need an additional hike beyond our current 75bp base case, likely in 2027. For the Bank of Japan, its next move could come earlier in October rather than December if the yen weakness and firm underlying inflation persists.

## Rate hikes in Taiwan could be delayed if peace deal holds

In Taiwan, we previously made upgrades to our GDP forecast despite the potential for an oil supply shock. Our 10.5% YoY 2026 GDP forecast is already among the highest in the market, and we will maintain this forecast for now. A peace deal removes some of the potential downside risk for growth. Given Taiwan's heavy energy import dependence and limited oil reserves, falling oil prices will have a bigger impact on inflation compared to our previous scenario. We revise down our CPI inflation forecast from 2.1% to 1.9% YoY. The previous scenario of oil prices peaking in 3Q prompted our call for the central bank to hike in 3Q26. We still have this rate hike pencilled in for now after a June hold from the central bank, with a few members already dissenting in favour of a rate hike and Governor Yang commenting that monetary policy should be "slightly hawkish". However, if we do get a lasting peace deal leading to lower energy prices and inflation proves to be under control, the rate hike could well be delayed again, potentially to as far as 2027.

Shifting oil price dynamics may also give India's central bank some room to delay or reconsider further tightening. Nevertheless, we continue to expect Korea and Japan to deliver anticipated rate hikes, with a rising probability of more and sooner. And a pivot away from rate hikes remains unlikely in the Philippines unless food inflation and FX pressures reverse materially. All things considered, monetary policy in Asia is still set to remain tighter for longer than markets anticipate.

## Asian currencies stabilising but will need more for a turn

A third factor keeping Asian central banks hawkish is the performance of FX. Indonesia's rupiah, the Indian rupee and the Thai baht have fallen the most against the US dollar this year. These currencies will likely need more than just a softer dollar to stage a sustained recovery, especially in an environment where US inflation remains sticky and the Federal Reserve's recent hawkish pivot limits downside for the dollar.

For a more durable turnaround, stronger local drivers will be crucial. The Indian rupee and Thai baht have been hit by their high exposure to energy imports, with weaker external balances driving much of the depreciation. For this to reverse, a sustained improvement in the terms of trade – via lower oil prices – alongside a rebuilding of capital account positions will be key. Until then, FX vulnerability is likely to remain a constraint on how quickly regional central banks can pivot away from tightening.

We see relatively more support for the Indian rupee, which still has policy levers at its disposal. Recent capital measures announced by the Reserve Bank of India should help plug the balance of payments gap, leaving us relatively constructive on INR. In contrast, investor concerns around Indonesia's recent policy direction may continue to weigh on sentiment, suggesting IDR could lag its regional peers.

In North Asia, both the KRW and JPY have weakened significantly, though easing geopolitical tensions and a narrower Fed-BoK/BoJ rate gap should provide some relief. For the KRW, USD/KRW is likely to remain above 1,500 in the near term despite Korea's exceptionally large trade surplus, as capital outflows remain sizeable. For the JPY, global dollar moves linked to Fed rate expectations should remain the dominant driver, while the BoJ's gradual hiking pace is unlikely to provide meaningful near-term support. As a result, USD/JPY is likely to stay near 160 for the foreseeable future.

The TWD has been tightly managed and range-bound during the Iran war. Given the backlash after last year's sudden spike, greater care may be taken to smooth out volatility in the TWD, which complicates forecasting. In a vacuum, a successful peace deal should contribute towards a stronger TWD.

## CNY outperformance could fade if peace deal holds

Given China's general stability, we are not making substantive changes to the GDP growth forecast of 4.7% because of the peace deal, though the deal does improve the outlook at the margin, and avoids a potential downgrade that may have been necessary in the event of a prolonged supply shock.

Lower oil prices will take some momentum out of the recent reflation momentum. We slightly trim our CPI inflation target from 1.3% to 1.2% YoY. There is also a possible implication on policy support. While the Iran war did not necessarily preclude another rate cut, rising inflation and global central bank tightening may have complicated the equation.

A peace deal and lower oil prices should remove this uncertainty and allow for the People's Bank of China to ease in the second half of the year. Given the marked slowdown of domestic activity data in the second quarter, pressure could pick up to support growth.

The Chinese yuan has been the top performer against the US dollar during the Iran war. While we see it continuing to appreciate against the dollar, its relative outperformance is likely to fade if the peace deal holds, and the CNY trade-weighted basket could decline moving forward as other currencies recover.

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### Disclaimer

Article | 18 June 2026 FX TRADE CHINA

# Still king – why the petrodollar isn't going anywhere soon

Recent tensions in the Middle East have revived debate about whether the petrodollar system is starting to fragment. Our answer is a cautious one. Some diversification in oil trade settlement is plausible, but the bigger question is where Gulf oil savings are ultimately invested. On both fronts, change looks gradual rather than transformative

Calling an "end of the petrodollar" would be a bold claim, with any shifts in the story likely to be slow-moving

Recent tensions in the Middle East have brought the petrodollar debate back into focus. The immediate market question is whether disruptions to energy trade could accelerate the use of non-dollar currencies in energy-related transactions. That matters because any such shift would add to the broader debate about the global role of the dollar.

Still, declaring "the end of the petrodollar" would be a strong call. As with other de-dollarisation themes we've covered, the reality seems to be less dramatic than the media headlines. We support the approach of looking separately at trade invoicing and asset allocation. On the trade side, China's growing importance as a buyer of Gulf energy, the gradual build-out of renminbi payment infrastructure, and renewed interest in alternative payment channels are all relevant. But the international role of the dollar also depends on where the savings of major energy exporters are ultimately allocated.

That is the key question we address in this article; the broad conclusion is that some petrosettlement and investment activity may become marginally more diversified, but the core of the petrodollar system still looks much harder to dislodge.

## Executive summary

- **Shift in oil settlement: evidence inconclusive.** March 2026 saw a pick-up in renminbi settlement activity via China's Cross-Border Interbank Payment System (CIPS), coinciding with the outbreak of the Iran war, but volumes moved closer to normal in April and May. SWIFT trade finance data also shows only a modest March spike after an earlier upward trend in 2022–2024. **China's growing role in the Gulf is a watch factor**, with its share in GCC exports and imports nearly doubling over the past decade to about 21%, alongside a build-up in non-dollar settlement infrastructure through the UAE-China swap agreement, mBridge cooperation and the UAE central bank's memorandum of understanding with CIPS.
- **The Gulf keeps accumulating oil savings, putting SWF allocation in focus.** Excluding Saudi Arabia, the GCC is projected to run combined current account surpluses of roughly $150bn per year over the next five years, implying $0.8tr in cumulative external savings through 2030. Gulf sovereign wealth funds hold around $6tr in assets, with the UAE estimated at about $2.7tr, leaving the key question of where these pools of oil wealth are ultimately invested. **GCC is USD-heavy by global standards**, with 69% of BIS-tracked international assets in US dollars versus 46% globally. This does not capture sovereign wealth funds directly, but it does suggest that Gulf external finance is more dollar-heavy than the global norm.
- **What might Gulf de-dollarisation look like?** From the invoicing angle, China's share in GCC trade points to an upper bound of about $300bn in annual flows that could be yuan-settled in an extreme case. From the asset side, any de-dollarisation would more likely show up through slower new inflows rather than reallocation of the existing stock. Even a reduction in new USD allocations below roughly $100bn per year would already represent a move in that direction.
- **GCC in the global context: central but not exclusive.** The Middle East accounts for around one-quarter of global fuel exports, while fuel trade makes up only 10-12% of global merchandise exports, limiting the impact on global de-dollarisation. **Broader de-dollarisation remains slow,** suggesting scope for gradual diversification rather than a decisive break with the dollar. The euro or RMB could use their strengths to create marginal competition with the dollar, but the dollar system still looks far more resilient than the louder de-dollarisation narratives imply.
- **Market implications:** Dollar dominance in GCC energy invoicing contributes to

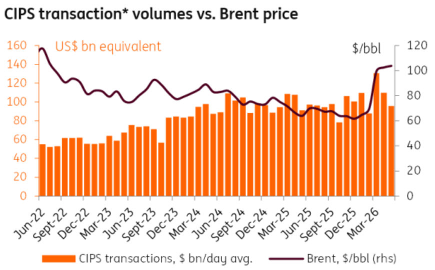
network benefits, while dollar funding markets proved resilient during the peak of the crisis in March.

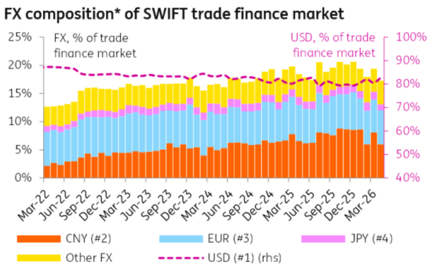
## Shift in oil settlement: evidence inconclusive

The new war in the Middle East has revived interest in whether the search for non-dollar energy invoicing could gain pace. Yet publicly available data remains limited, and the available evidence is mixed. The pick-up in renminbi settlement activity in March via CIPS has been cited by some observers, including the European Central Bank, as an indirect sign of a shift in energy invoicing.

So far, however, the evidence remains inconclusive. After a spike in March, CIPS volumes returned closer to normal in April and May, despite the ongoing tensions in the region. SWIFT trade-finance data tells a similarly cautious story: renminbi usage had already been trending higher in 2022-2024, but the increase in March 2026 was relatively modest and was followed by some retrenchment in April.

## The spike in CNY transactions in March appears to be a one-off so far




Source: ECB, CIPS, SWIFT, ING; * adjusted for FX revaluation effects

## China's growing role for the Gulf is a watch factor

It is important to understand where the expectation of a growing renminbi role in Gulf fuel trade is coming from. Unlike Russia or Iran, GCC countries are not operating in a sanctions environment and remain broadly free to choose their settlement currency mix. The case for greater renminbi usage would therefore be mainly commercial.

The commercial logic starts with trade geography. China's share in GCC exports and imports has nearly doubled over the past decade to around 21%.

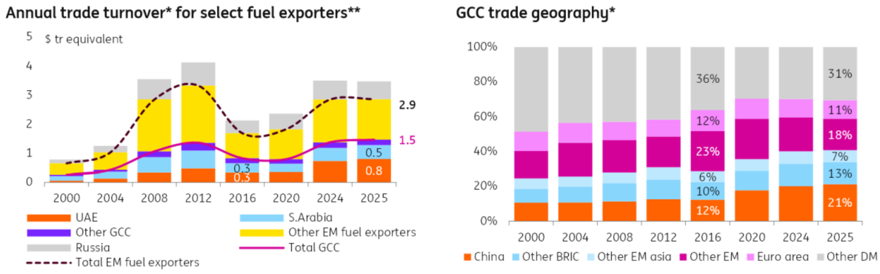
### China's share in GCC exports and imports has nearly doubled

## over the past decade to around 21%

Just as importantly, Gulf trade has become more tilted towards emerging markets, which now account for around 60% of the GCC's external trade mix – the reverse of the picture 25 years ago.

This matters for the global energy story because the GCC itself accounts for 51% of the total external trade turnover of all EM fuel exporters in the IMF's definition, which excludes Russia (as a more diversified commodity producer). It is also notable that within the GCC, the UAE has overtaken Saudi Arabia in terms of total external trade volumes in the last 10 years.

## China's share in GCC trade flows nearly doubled in the last 10 years to 21%




Source: IMF, ING; * Sum of exports and imports, share of China includes Hong-Kong and Macao; ** Russia in not part of IMF EM Fuel Exporters aggregate

From the global trade and multipolar perspective, some energy transactions may gradually become less exclusively dollar-based as China deepens its trade links with major exporters and as alternative payment infrastructure develops. The UAE-China swap agreement, mBridge cooperation and the UAE central bank's MoU with CIPS all point to a slow build-out of the relevant infrastructure.

As for China's RMB internationalisation, the process has seen ebbs and flows over the past two decades, but is gradually moving along, with increasing RMB trade settlement and payment shares over the years. As China's trade clout grows and it becomes the largest trading partner for more countries, a natural consequence has been a shift towards RMB-denominated settlement.

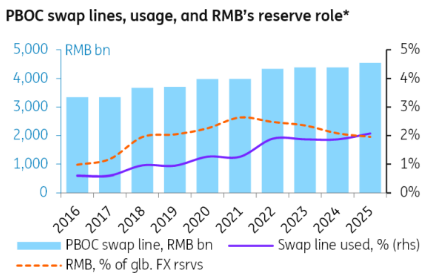
An important new development which emerged during the Iran war was when Iran requested payments to be made in Bitcoin or CNY. This is a sign that countries are considering CNY as an alternative to the traditional dollar system, an option which can help avoid US sanctions. Geopolitical developments have and could continue to play a role in the RMB's adoption globally.

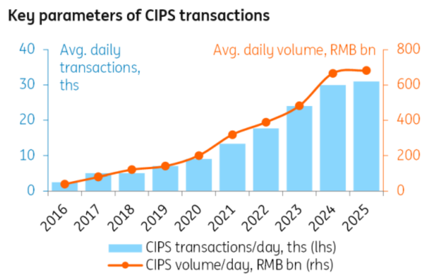
Policymakers have been prioritising financial stability over speed of internationalisation, and this is unlikely to change, even with a perceived window of opportunity from de-dollarisation trends. A lack of full capital convertibility continues to weigh on RMB internationalisation, while there appears to be relatively limited appetite for the RMB as a reserve currency.

Nonetheless, efforts continue to be made in this direction, as President Xi Jinping has stated that China must have a "powerful currency". The People's Bank of China just announced a new repo facility to be made available to foreign central banks, international financial institutions, and sovereign wealth funds, accepting RMB-denominated collateral such as Chinese government bonds, central bank bills, and policy bank bonds. This would allow for foreign institutions to tap into the current low interest rates in China, and could encourage further RMB usage.

China currently has 32 currency swap lines set up, worth up to RMB4.5tr, and these swap lines have increasingly shifted from symbolic agreements to actively used liquidity tools. By the end of 2025, the outstanding balance of RMB drawn by overseas central banks stood at RMB94.2bn.

## China continues building infrastructure for RMB internationalisation




Source: PBOC, ECB, IMF, ING; * Pre-2025 shares of RMB in global FX reserves adjusted for FX revaluation

Overall, higher Gulf exposure to China is not a death sentence for the dollar as a petro-currency. The rising role of China in global trade does not automatically translate into a comparable rise in the role of the renminbi. And if Gulf economies continue to invest heavily in domestic fuel, logistics and defence infrastructure, imports are still likely to remain diversified across both developed and emerging market partners.

On the subject of swap lines, much was made earlier this year of the UAE's request for a standing dollar swap line to join the elite club of the eurozone, Japan, the UK, Switzerland and Canada. This story has gone quiet over recent months, but one can only conclude that the UAE still sees itself very much part of the dollar universe – anchored, of course, by the USD/AED peg.

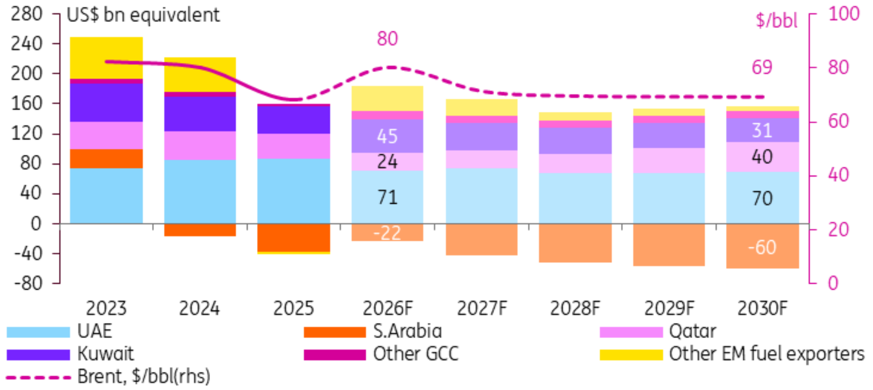
## The Gulf keeps accumulating oil savings…

The more important question for the dollar story is not just how Gulf exports and imports are invoiced, but whether the region still generates external surpluses large enough to matter for global capital markets. Some have argued that rising domestic expenditure and imports mean the GCC no longer produces large enough current account surpluses to remain relevant as a capital exporter.

> **IMF projections imply a cumulative current account surplus of around $0.8tr through 2030 that will need to be allocated by the GCC ex. Saudi Arabia into global assets**

The IMF projections suggest otherwise. While Saudi Arabia alone is expected to remain closer to the current account deficit, the wider GCC still looks highly relevant as a source of external savings. Excluding Saudi Arabia, the GCC – mainly the UAE, Qatar and Kuwait – is projected to run a combined current account surplus of roughly $150bn per year over the next five years even under an oil price assumption of $70-80 per barrel. That implies a cumulative surplus of around $0.8tr through 2030 that will need to be allocated by the GCC ex. Saudi Arabia into global assets.

## Excluding Saudi Arabia, the GCC will have $0.8tr of current account surplus to allocate through 2030




Source: IMF, ING; * Russia doesn't match the export concentration criteria for IMF's EM Fuel Exporters aggregate

Current account balance for GCC and other EM fuel exporters*

## …putting the sovereign funds' asset allocation in focus

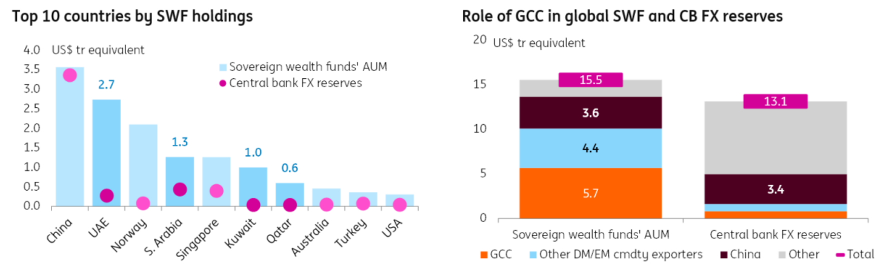
Persistent current account surpluses suggest that the region is likely to remain important not only for trade invoicing, but also for the currency mix of global financial assets. In the GCC, sovereign wealth funds are the key players. We have touched on this previously; in oil-producing economies, sovereign funds are often the dominant investors and can dwarf central bank reserve holdings.

Originally established to preserve and grow finite hydrocarbon wealth for future generations, Gulf sovereign wealth funds now hold combined assets under management of around $6tr, which is over one third of the value of the world’s 100 largest sovereign funds.

> **Gulf sovereign wealth funds now hold combined assets under management of around $6tr**

Four of the six GCC countries are among the world’s top 10 sovereign wealth fund holders, and the UAE hosts the largest combined SWF assets in the region with a combined value estimated at $2.7tr. The GCC asset allocation choices matter for the future of the petrodollar no less than the currency of trade invoicing does.

## The Gulf holds more than a third of world's sovereign wealth assets




Source: GlobalSWF, IMF, SWF Institute, media, national sources, ING

## GCC is USD-heavy by global standards

So how dollarised is the GCC, and how much could that change? That is the trillion-dollar question, and the direct data is almost as scarce as it is for trade invoicing and settlement.

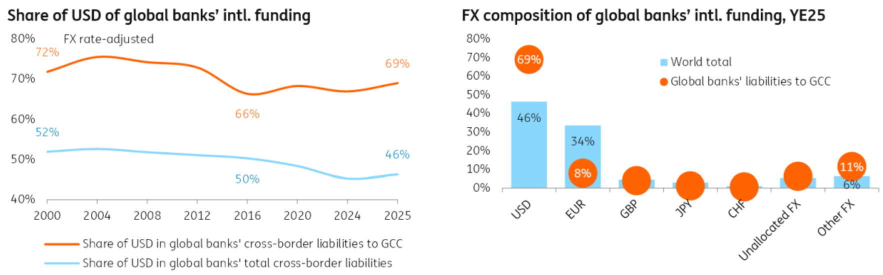
The GCC’s influence is not especially visible in the IMF's Currency Composition of Official Foreign Exchange Reserves (COFER) data because the region’s central bank reserves are relatively small compared with sovereign wealth funds, while sovereign funds are generally far less transparent than central banks about asset allocation. US data on foreign holdings of Treasuries or broader US assets is also of limited help, because they are heavily distorted by Europe’s custodial role through financial centres such as the UK, the Benelux countries and Switzerland.

We therefore use an indirect proxy: the banking system’s international balance sheet. BIS locational banking statistics provide a [currency breakdown of global banks' liabilities to financial and non-financial sectors] in each reporting country. While this does not capture sovereign wealth funds directly, it still offers a useful window into the broader currency mix of external finance. By that metric, Gulf external finance remains much more dollar-heavy than the global norm. At the end of 2025, around $0.6tr – or 69% of international assets linked to GCC financial and non-financial sectors – was denominated in US dollars, compared with a global aggregate of 46%.

> **Around 69% of international assets linked to GCC are denominated in US dollars, compared with a global aggregate of 46%**

The GCC also appears underweight the euro, at roughly 8% versus a 34% global aggregate, while showing a somewhat higher preference for non-core currencies. Notably, the dollar share in the GCC's cross-border assets appears to have risen over the past decade, in contrast to the broader global trend.

## GCC's external finance is highly dollarised by global standards



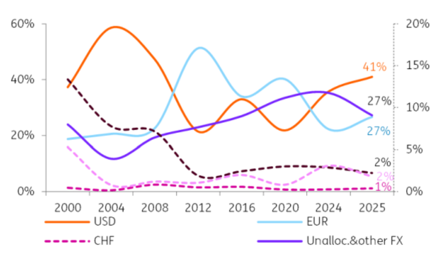

Source: BIS, Refinitiv, ING; * Pre-2025 shares recalculated according to FX rates as of YE25

It remains an open question as to how well BIS locational banking statistics proxy the currency composition of sovereign wealth funds, most of which are deliberately structured outside the domestic banking perimeter. Even so, there are reasons to take the signal seriously.

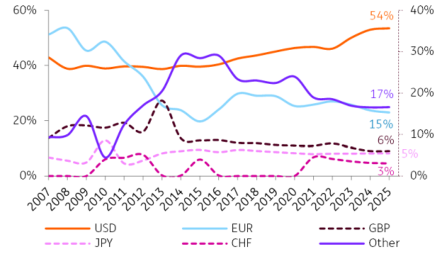
First, the dollar pegs in GCC countries naturally reinforce the dollar's role in both trade and capital flows. Second, Norway offers a useful cross-check because it publishes the currency composition of its sovereign wealth fund. There, BIS cross-border banking data does not replicate the sovereign fund allocations exactly, but it does capture the broad ranking of currencies relatively well; the US dollar is clearly dominant, followed by a group of non-core currencies and then the euro. That suggests the Gulf's above-average dollarisation in cross-border balance sheets is unlikely to be meaningless.

## For Norway, BIS banking data is a good proxy for SWF FX structure

Global banks' intl. funding from Norway by FX*




FX* structure of Norway's sovereign fund




Source: BIS, NBIM GFPG, Refinitiv, ING; * Pre-2025 shares recalculated according to FX rates as of YE25

If the BIS GCC banking data broadly reflects sovereign wealth-fund preferences, this would imply that a very large stock of the Gulf's sovereign wealth is likely to be already allocated in dollar assets – at least $4tr – alongside much smaller allocations to non-core currencies ($0.6tr) and the euro ($0.5tr).

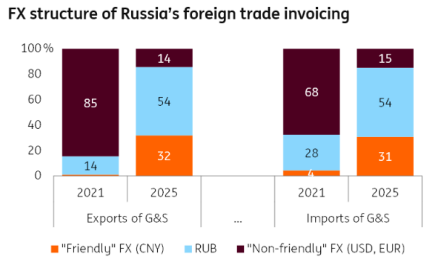
> **A very large stock of the Gulf's sovereign wealth – at least $4tr – is likely to be currently allocated in dollar assets**

## What might Gulf de-dollarisation look like?

The next question is what the practical limits of Gulf de-dollarisation would be if the region were hypothetically to pursue it. This could be considered a stress test (not a forecast!) designed to illustrate the scale of any plausible change and the surrounding constraints.

Russia provides one extreme reference point. Since 2014, Russia's external trade and reserve mix has experienced a foreign policy-driven shift towards China and renminbi, and this process has accelerated rapidly since 2022 under the pressure of sanctions and reserve freezes. By 2025, the renminbi's share in Russia's external trade invoicing had risen to match China's 30-33% share in Russia's trade. In Russia's liquid sovereign savings, the renminbi also gained a dominant role because other reserve currency options had effectively been removed.

## The yuanisation of Russia's foreign trade matches China's share in its exports and imports


Source: China customs, Bank of Russia, ING

The Gulf, however, is self-evidently not Russia. The geopolitical setting and scale are entirely different. A simple translation of Russia's experience into the GCC would therefore be misleading. At most, Russia offers a far-end reference for how far trade settlement can move when constraints are extreme, which, in the case of the GCC, would also match China's role in the region's external trade – currently around 20%. In an extreme case, up to $300bn out of $1.5tr in GCC's annual exports and imports turnover could be invoiced in RMB.

> **In an extreme case, up to $300bn out of $1.5tr in the GCC's annual exports and imports turnover could be invoiced in RMB**

On the asset side, the constraints are even stronger. Existing GCC sovereign wealth fund assets are too large to be reallocated quickly. In practice, if de-dollarisation occurred at all, it would most likely show up through new allocations rather than through a large-scale restructuring of the existing stock.

With projected annual current account surpluses of roughly $150bn, even a hypothetical reduction in new USD allocations below 70% of that sum, or $100bn per year, would already represent a move toward de-dollarisation.

But that would still be very different from a rapid retreat from the dollar as the dominant store of Gulf wealth.

All of our discussion so far has centred on potential opportunities for the renminbi. Yet in our previous research, we have been drawn to a multipolar currency world of dollars, euros, renminbi, and other non-core currencies. The prospect of GCC exporters notably shifting energy invoicing to euros looks limited, however. The euro area only comprises 11% of total GCC exports and imports, and there seems to be little appetite from Europe to challenge the role of the dollar in the oil sector. Europe has had some success with benchmark euro exchanges for gas and carbon. But oil is another market entirely.

> **Euro-denominated debt financing jumped 30% last year to a record $1.1tr, led by international debt issuance**

That said, Europe can and will focus on creating an attractive environment for international investors. While progress on Europe's Savings and Investment Union has been slow, the euro-area bond market did enjoy an encouraging year in 2026. Euro-denominated debt financing jumped 30% last year to a record $1.1tr, led by international debt issuance.

While the commercial benefits of Reverse Yankee issuance certainly played a role, Debt Capital Market teams certainly noted more international interest in euro-denominated debt.

Stablecoins are another payment means in focus. Evidence of their use in energy invoicing remains highly speculative at this early stage. But most conclude that any uptake in this space would only cement dollar-centricity, since most stablecoins are backed by USD assets. For example, Tether is now the 17th largest holder of Treasury securities globally.

## GCC in the global context: central but not exclusive

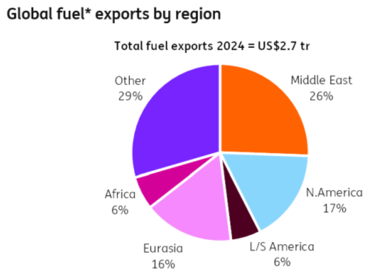
The Gulf is central to the petrodollar debate, but it is still only part of the global energy story. Even if invoicing patterns were to shift more visibly within the GCC, the global impact would still depend on how large the Gulf remains in production, exports and surplus generation relative to the rest of the energy world.

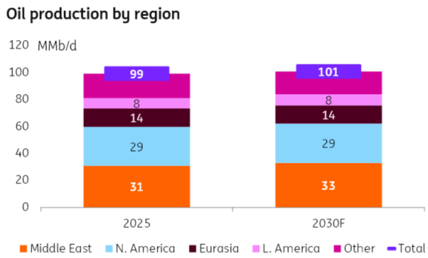
> **The Middle East accounts for around one-quarter of global fuel exports**

The broader global energy system still includes large producers and exporters outside the Gulf, while the post-2022 energy shock has also increased the strategic role of the US as both an oil and LNG supplier. The entire Middle East now accounts for around one-quarter of global fuel exports.

In that sense, the global energy map may have become more fragmented, but not necessarily less dollar-centred. According to the IEA’s five-year projections, the more dollar-centric fuel production in the Americas is expected to retain its competitive global shares, especially in the oil segment, where North and Latin Americas combined are expected to retain c.38% combined share vs. 33% attributable to the Middle East.

## Middle East accounts for around a quarter of global fuel exports, Americas will remain a strong competitor




Source: OEC, IEA, ING; * includes oil (48%), refined products (18%) and gas (18%)

That is why any credible petrocurrency argument needs to consider two things at once: first, whether the Gulf's own trade and savings become less dollar-based over time; and second, whether that shift is large enough to move the global aggregate in a material way.

## Broader de-dollarisation: still slow

The petrocurrency debate is a valid part of the de-dollarisation story, with a potential focus on the UAE, which, following its accession to BRICS+ and breakaway from OPEC, is targeting a material increase in global fuel supply. However, the evidence so far argues against rapid de-dollarisation in the global financial system. First, it's important to keep in mind that global fuel trade represents only around 10-12% of the global merchandise exports.

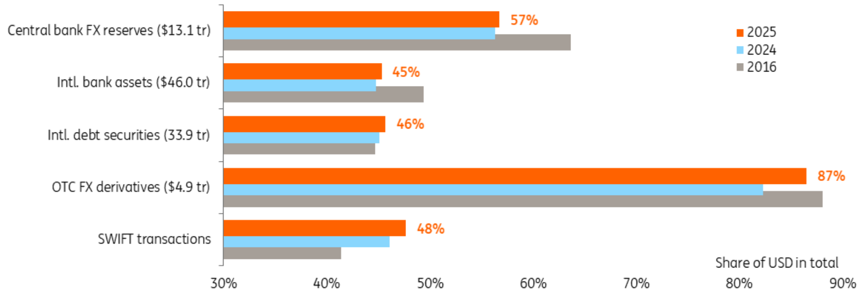
> **Global fuel trade represents only around 10-12% of the global merchandise exports**

Second, the IMF finds that the dollar remains dominant in global trade invoicing and that there is no robust evidence of a broad move away from the dollar in oil exports. The ECB likewise shows that the dollar and euro still account for more than 80% of global invoicing, while the renminbi remains small at the aggregate level.

This is important context for any potential shift in Gulf invoicing patterns. Even if some energy transactions become somewhat less exclusively dollar-based, that would not automatically translate into a comparable change in the global role of the dollar. The dollar's position is anchored in the international assets and liabilities of central banks and the private sector, as well as broader turnover of trade and financial flows.

The broader dollarisation metrics we track suggest that meaningful long-run diversification has been visible mainly on the asset side, and even their progress appears to have stalled in 2025. The lack of a large debt securities market outside USD and EUR segments is one of the obstacles for broader diversification.

## Global de-dollarisation stalled in 2025, long-term trend seen on the asset side




Source: IMF, BIS, SWIFT, Refinitiv, ING; * pre-2025 shares recalculated according to FX rates as of YE25

Key indicators of USD's global role

This does not, however, mean that nothing is changing. More euro and renminbi settlement in parts of energy trade is plausible, and so is a world in which some Gulf savings are allocated somewhat less mechanically into dollar assets than in the past.

## Market implications

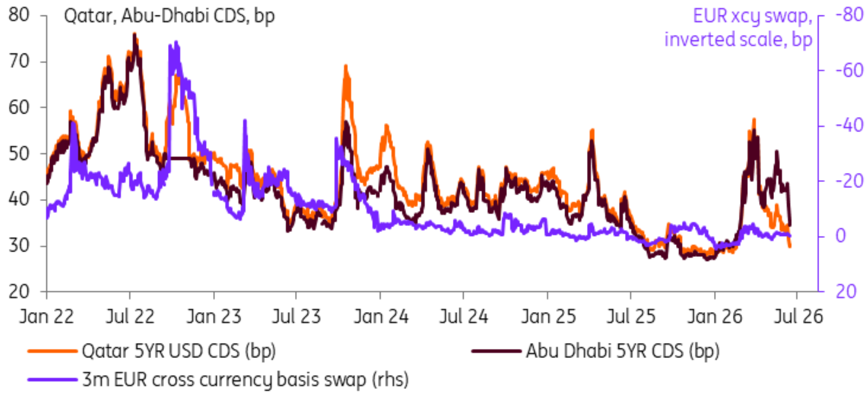
The network effects of having the dominant currency in international finance and invoicing are well publicised for the dollar. And a recent ECB paper calculated that of the 190bp 'convenience yield' earned by foreign investors in holding US Treasuries, 170bp was down to the attraction of the dollar. Clearly, GCC exporters continuing to earn and invest in dollars looks to be an important driver of the lower borrowing costs enjoyed by the US government.

Separately, during the crisis, we wondered whether developments in the Middle East were enough to impact global dollar funding conditions. For example, were GCC nations large enough international lenders of dollars – be that through wholesale funding or commercial paper markets – to see dollar borrowing conditions tighten?

In FX markets, stress in dollar liquidity normally emerges in the cross-currency basis swap market, where European lenders would be prepared to lend out euros through the swap market at below market rates ('the basis') in order to secure dollar funding.

Fortunately, events showed that during the peak of stress in March, the basis swap hardly budged at all, reflecting the resilience of dollar funding markets to a localised shock.

## Dollar funding versus regional CDS




Source: Refinitiv, ING

The petrodollar story could be changing, but slowly. Recent tensions in the Middle East have revived interest in whether energy exporters and importers want more room to settle transactions outside the dollar, and some marginal diversification in that direction is plausible. China's rising role in Gulf trade and the gradual development of alternative payment infrastructure support that trend.

But this should not be confused with the rapid erosion of dollar dominance. The bigger issue is not only how energy is invoiced, but how surplus oil savings are stored. On that front, change also looks slow. The Gulf still generates large external surpluses, sovereign wealth funds remain central to recycling them, and the available balance-sheet evidence suggests that the region's external finance remains more dollar-heavy than the global average.

Our conclusion is that the euro and non-core FX, including the RMB, can create some competition for the dollar, both in settlement and in new allocations. But we do not see convincing evidence that de-dollarisation can be fast and easy. Based on broader global trends, the process looks gradual and faces structural constraints, leaving the dollar firmly at the centre of the global energy-finance system.

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### Disclaimer

Article | 17 June 2026 FX RATES UNITED STATES

# Hawkish shift opens the door to Fed rate hikes

A clear hawkish shift from the Fed sees the committee split down the middle on whether they will hike rates or not this year. Sharp energy price falls are good news though, and we think an extended pause is the most likely outcome

The Federal Reserve left interest rates unchanged in Kevin Warsh's first meeting as Fed Chair

## Markets acknowledge the prospect of higher policy rates

The Federal Reserve has left monetary policy unchanged at Kevin Warsh's first meeting as Chair. It was a unanimous decision given that arch-dove Stephen Miran had made way for Warsh to join the Board of Governors, while the clear adjustment to the tone of the much cut-down press release was sufficient to bring the three hawkish dissenters from May onside. In a message to leave no doubt in investors' minds over the inflation fighting credibility of the central bank, the statement concluded: "the Committee will deliver price stability".

The even more obvious hawkish shift was seen in updated Fed forecasts. The new "dot plot", has 9 of 18 members pencilling in a rate hike versus zero in March, which shows the Fed has gone well beyond signalling "two-way risk" on interest rates, to a clearly more hawkish position.

One member is, in fact, predicting three 25bp hikes over the coming six months; five members are going for two hikes and three are going for one hike. Eight expect no change with just one forecasting a rate cut this year. There are only 18 dots versus the usual 19. As broadly expected, Kevin Warsh decided not to enter a prediction having said in the past that the Fed's record was "abysmal" and that he saw little value in it. He added at the press conference, "I can't give you any guidance on what we're going to do next."

As such, the median is now for one hike this year, but then a cut next year with a further cut in 2028 before settling at a 3.0-3.25% range over the longer term.

## Fed projections versus the previous expectations from March

| | 2026 | 2027 | 2028 | Longer run |
|---|---|---|---|---|
| **Change in real GDP (4Q YoY%)** | **2.2** | **2.3** | **2.2** | **2.0** |
| Previous Fed projection (Mar) | 2.4 | 2.3 | 2.1 | 2.0 |
| **Unemployment rate (% year end)** | **4.3** | **4.3** | **4.2** | **4.2** |
| Previous Fed projection (Mar) | 4.4 | 4.3 | 4.2 | 4.2 |
| **Core PCE inflation (4Q YoY%)** | **3.3** | **2.5** | **2.1** | - |
| Previous Fed projection (Mar) | 2.7 | 2.2 | 2.0 | - |
| **Federal funds rate (year end)** | **3.8** | **3.6** | **3.4** | **3.1** |
| Previous Fed projection (Mar) | 3.4 | 3.1 | 3.1 | 3.1 |

Source: Federal Reserve, ING

The table above shows the Federal Reserve's updated median forecasts versus what they were saying in March. They are a little more upbeat on GDP growth for fourth quarter 2026 than the consensus (2.2% versus 2%), but more worried about inflation than the consensus (core PCE deflator at 3.3% versus the 3.1% consensus).

Kevin Warsh, appointed by a President demanding rate cuts, may well face some criticism after this. Nonetheless, his emphasis on needing to prevent second-round price effects will help to keep the long end of the yield curve anchored. This is, in fact, more important for the President's growth strategy by keeping a lid on mortgage and corporate borrowing costs while also limiting the upside for government interest costs.

## An extended pause from the Fed remains our call

Markets are now pricing 32bp of rate hikes this year, with a cumulative 42bp by this time next year, versus 19bp and 33bp respectively ahead of the release. Nonetheless, we look for an extended pause of perhaps 12 months.

With a deal set to be signed imminently to reopen the Strait of Hormuz, energy prices have fallen sharply. $76/bbl WTI oil is consistent with gasoline prices falling to $3.75/gallon after having peaked at $4.60. That should help lead to an outright month-on-month % drop in headline prices for June. It will also relieve pressure on airline fares and freight rates within the inflation data, while also easing the squeeze on household spending power.

While recent jobs numbers have been firmer, consumer confidence is rock bottom in an environment where real household disposable incomes are languishing. Consumer and market inflation expectations remain in tolerable ranges and slowing housing rents, weak wage growth and a waning influence from tariffs should, we believe, gradually ease the concerns of the Fed.

## The Treasury curve shifts higher and flatter, but the curve structure remains benign

Impact reaction to the FOMC outcome was a flatter curve, led by the front end. That bit is straightforward, given the change in tone from the FOMC as a whole, and the upshift in the median dots. The 10yr yield is up, back to the 4.45% area, and rising. What's interesting is the breakout of this, as the breakeven inflation rate fell, while the real rate rose. The aggregate rise in the 10yr yield came from a bigger pop in the real yield versus the fall in breakeven inflation.

This has been a key theme in the past few months – ongoing upside to real rates, alongside falls in inflation expectations. In fact, breakeven inflation is on aggregate quite tame. Printed inflation is in the 4% area, while the 10yr breakeven is just under 2.3%. And in fact, breakevens remain tame right along the curve. Our bottom line view from all of this is that long-dated yields are liable to remain sticky to the upside (breakevens are already tame and real yields are on the rise, or at the very least holding steady).

The hawkish tilt is classically not good for the front end, and theoretically, it can be a calming influence for the back end, on a theory that the Fed is showing some preparedness to take action, if needed, to help tame inflation. The overall outcome of a flatter curve based on this is straightforward. We still worry that the 10yr yield can drift higher from here, to the 4.5% area and above. That said, the 5yr area has richened further slightly, showing the market is not fully bought in on rate hikes being a dominant theme in the coming quarters.

Beyond that, we had expected something on balance sheet management, but little to nothing on this. The bill-buying programme continues, and the ample reserves environment is sustained. It seems that the balance sheet reduction project is all being left to another day.

## Dollar enjoys commitment to price stability

After this week's large fall in energy prices, FX markets probably went into today's FOMC meeting with a neutral bias. In the end, the outcome was clearly hawkish with a slimmed-down statement refocusing on price stability, a rate hike in the dot plot and a few references to the Fed having missed its inflation target for five years running.

The dollar took its cue from the 10bp bearish flattening in the US yield curve and rallied around 0.5% on the news that the Fed is prepped to tighten. Also welcome for the dollar is the read-out for US asset markets, where stability at the long end of the bond market and equities reversing intra-day losses suggest buy-side investors appreciate the renewed commitment to price stability.

That commitment also serves to deflate interest in the dollar de-basement trade, which last year had seen gold, bitcoin and the likes of the Swiss franc rallying on the view that a captured Fed could go soft on inflation. That looks far less likely after today's FOMC meeting. Gold is off 2.5% on the news and USD/CHF up around 0.7%. These trends can extend.

A hawkish Fed can keep EUR/USD pressing 1.1500 this summer, with the risk of a temporary break lower should any US activity or price data briefly push market expectations towards 50bp of tightening this year. Japanese authorities must now be bracing for higher levels in USD/JPY – perhaps into the 162/163 area – before another round of intervention is due. But the already slim chance of effective dollar selling intervention just got slimmer.

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### Disclaimer

Article | 23 June 2026 HUNGARY

# National Bank of Hungary review: 'Mini' cutting cycle set to size up

The writing was on the wall, and the National Bank of Hungary did not disappoint. On the contrary, the revised ultra-low inflation outlook encouraged the Monetary Council to commit to two more rate cuts after today's reduction during the summer. We envisage at least one additional rate cut to the projected official path

The National Bank of Hungary committed to further easing during today's press conference

**6.00%** Key interest rate

(-25bp)

As expected

## ING's policy view: We agree that there is scope for further cuts

The National Bank of Hungary cut the base rate to 6.00% on 23 June, matching the expectations in our preview. When the Monetary Council last decided to ease monetary conditions in February, it clearly avoided the term 'rate cut cycle'. Times are changing quickly, however, and we now find ourselves in a 'mini cycle'. Nevertheless, the significant improvement in the inflation outlook would justify at least a 'midi' cycle, if not a 'maxi' one, if you like fashion metaphors.

The price pressure has eased to such an extent that we are forecasting an average inflation rate of 2.3% in 2026. Before the central bank revealed its new forecast, this figure seemed impressive. Perhaps it is time for us to take a summer retreat and regroup. To be fair, we have already factored in expected fluctuations in fuel prices and the gradual removal of other price protection measures. Unless the forint depreciates significantly, the outlook for structural developments under this scenario remains favourable. We predict that inflation will peak at around 3.0-3.5% year-on-year. However, due to base effects and stronger repricing driven by domestic demand, price pressure will continue to creep higher, and the pinnacle of the inflation cycle could reach 3.5-4.0% in mid-2027.

Looking ahead, if the external environment remains supportive and local politics deliver on previous commitments to the euro adoption plan, EU funding developments and long-term fiscal adjustments, the risk premium for Hungarian assets could remain persistently low. In this case, we forecast a 'midi' cycle involving three or four further rate cuts sequentially following today's move. Our terminal rate for this year is 5.00-5.25%. However, if the situation remains favourable as winter approaches, we wouldn’t rule out switching to a 'maxi'.

## ING’s market views

The NBH press conference brought a dovish outcome to the market, particularly due to the very low inflation forecast for this year and next, heading well below our expectations and market consensus – making the NBH the most dovish forecaster on the market. Also, the commitment to two rate cuts during the summer and calling for a “mini rate cut cycle” may be a reason for the market to see this meeting as clearly dovish.

The press conference sent EUR/HUF above 356, but it eventually stabilised somewhere in the 355-356 range. These are levels where we would expect some resistance and attractiveness for new forint buyers. However, together with the NBH meeting, we also see a switch in global sentiment to be more risk-off with an equity sell-off and a stronger US dollar, which gives the forint additional risk of a sell-off in the near-term.

On the other hand, from a rates perspective, the market has basically priced in the rate cuts that the NBH mentioned today. The front-end of the curve does have reasons to rally, and we see further steepening as we discussed in the NBH preview. Still, this should not be a game-changer for FX.

In rates, the market is pushing the NBH rate terminal lower to the 4.50-4.75% range after the press conference, and we are likely to see a further rally in the coming days. This is still higher than we saw pricing in 2024 of around 4.25-4.50% under less favourable conditions for the central bank. Therefore, we believe the front-end has more room to go lower, and the bull-steepening of the curve will continue.

## Updated GDP and CPI forecasts of the NBH (% YoY)

| | 2026 | 2027 | 2028 |
|---|---|---|---|
| **Change in real GDP - June projection** | **2.0** | **3.0** | **2.9** |
| Previous NBH projection | 1.7 | 3.0 | 2.9 |
| **Change in consumer prices - June projection** | **1.8** | **2.3** | **3.0** |
| Previous NBH projection | 3.8 | 3.7 | 3.0 |

Source: NBH, ING

## The updated GDP & CPI forecasts

The full macroeconomic assessment and outlook will be published alongside the June Inflation Report on 25 June. Based on the latest GDP and inflation forecasts, the NBH's outlook has become much brighter.

The favourable GDP figures for the first quarter, combined with a sharp rise in consumer confidence and a strong improvement in households' real disposable income, resulted in an upward revision of GDP growth in 2026. On inflation, significant downward revisions have been made across the entire forecast period, with shockingly low projections for both 2026 and 2027. However, these take into account the continued use of price shield measures and price caps, as the decree-turned-law has scrapped the phase-out date. To provide a more realistic picture, the NBH conducted an alternative calculation, the results of which will be published in the detailed Inflation Report.

Regarding alternative scenarios, the Monetary Council highlighted six, four of which were labelled as the most relevant. From an economic activity point of view, the risks are tilted to the upside, while inflation-related scenarios show balanced risks.

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### Disclaimer

Article | 23 June 2026 FRANCE

# French economic outlook remains downbeat

Business sentiment stayed subdued in June and domestic demand continues to underperform, pointing to weak economic activity in the months ahead


The prospect of a rebound in French activity remains very limited, and an end to the Middle East conflict wouldn't necessarily mark the beginning of a strong recovery

## French domestic demand remains stalled

Business confidence in France edged up only marginally in June, rising by a single point to 94, still well below its long-term average. Most firms responded to the survey before the announcement of a Middle East peace agreement, but in an environment where energy prices on global markets had already started to ease.

Overall, the underlying details paint a rather concerning picture for France's economic outlook. The modest improvement is largely attributable to retail, where sentiment is slightly less negative than in May (with the sub-index rising from 89 to 90), though still significantly below its normal level of 100. Meanwhile, business sentiment in services remains particularly weak and at its lowest since 2021, with deeply negative expectations across all sub-sectors, both household-facing and business-oriented. Industry, which had been the only real engine of French growth, is also showing signs of softening, with sentiment declining across sectors and returning to its average level. Firms, in particular, report a more pessimistic assessment of past production.

Perhaps most worrying is the continued deterioration in the labour market outlook. In June, the employment climate indicator fell by a further three points to its lowest level since 2013 (excluding the pandemic period). This suggests that job creation will remain insufficient in the coming months, with unemployment likely to continue rising, potentially approaching 8.5% by the end of 2026.

On prices, the survey indicates no further increase in selling price trends in June; if anything, prices edged down slightly in both services and industry.

PMI indicators, also released today, did improve in June but remain weak overall and still point to contracting activity, albeit at a slower pace than in May.

## Limited scope for a rebound

Taken together, today's data suggests that French growth was likely weak in the second quarter, following the unexpected contraction in the first quarter (-0.1% quarter-on-quarter). Higher oil prices have weighed on household purchasing power and confidence, leaving consumer-facing sectors particularly subdued. External demand remains a key support, especially for industry. Aerospace and shipbuilding, where output is up 20% year-on-year, continue to perform strongly. Significant aircraft deliveries could drive a notable rebound in exports in the second quarter, reducing the risk of another GDP contraction and a technical recession. More broadly, French industry has also benefited in recent months from a pickup in foreign orders, partly due to disruptions affecting some Asian competitors.

That said, this support is likely to prove temporary. As the Strait of Hormuz is expected to reopen, these effects should fade in the coming months. The decline in industrial sentiment in June underscores that France cannot rely on a singular growth engine to sustain its economy over time. Moreover, industrial growth remains relatively job-light, while labour market prospects are deteriorating sharply. Although lower oil prices could offer some support to consumer confidence, weak labour market dynamics and unfavourable real wage trends are set to continue weighing on consumption in the near term.

In short, prospects for a rebound in French activity remain very limited, and the end of the Middle East conflict does not mark the beginning of a strong recovery. Overall, we continue to expect GDP growth of around 0.4% on average in 2026, following 0.9% in 2025.

Growth this weak – and well below the government's assumptions when drafting the budget – is likely to significantly complicate fiscal consolidation efforts. Achieving a public deficit of 5.0% of GDP in 2026 after 5.1% in 2025, as announced by the government, is becoming increasingly challenging. The European Commission, for its part, expects a deficit of 5.1% in 2026 and 5.7%

in 2027, based on relatively optimistic growth assumptions. This is likely to pave the way for renewed and potentially contentious budget discussions against an already complex political backdrop in the run-up to the 2027 presidential election.

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### Disclaimer

Article | 23 June 2026 RATES

# Rates Spark: Gilts don’t like political uncertainty

Mixed signals from Christine Lagarde are suggesting a more balanced view from the ECB, potentially with more focus on growth after new PMI data. Meanwhile, UK gilt yields are likely to keep a material risk premium as we head into a period of economic policy uncertainty


Andy Burnham is likely to replace Starmer as PM, and the associated political uncertainty could keep gilt yields higher

## A more balanced ECB view could increase focus on growth dynamics

The market is staying optimistic about the developments in the Middle East, having brushed away the somewhat rough start to the negotiations over the weekend. Brent oil is stabilising below US$80/bbl.

Had these developments come two weeks earlier, it is unclear whether the ECB would still have hiked. However, once it did, it had to commit to its action. One might be tempted to put down the hawkish comments as ex-post justification and defence of past action rather than any guidance of what is still in store. Lagarde’s latest comments also seem to tone down the relevance of her assessment that there had already been signs of second-round inflation effects. To the EU parliament, she said there was no need for a more forceful ECB response to the Iran war, although that is not out of line with the "measured adjustment" she mentioned in the case of a "sizeable but not-too-persistent overshoot" of inflation.

That said, there is still a lot of uncertainty around the geopolitical outlook. We would even go as far as to say the market – as reflected in oil prices – might be a bit too optimistic about how fast disruptions in the energy flow can be cleared. That might also explain why the rates market, at least, is still holding on to the notion of another hike from the ECB, even if now only fully discounted by year-end rather than already by October.

The easing of tensions might allow for a more balanced assessment of inflation versus growth, though already now, meaning the eurozone flash PMIs as a more contemporaneous barometer of the state of the economy, could be more influential this time. That is, if we were to get a larger surprise to the downside. Currently, the market is actually looking for a slight improvement coming from the services side, though still seeing the sector in contractionary territory.

## Political uncertainty adds to risk premium in gilt yields

Starmer's resignation is now official, but we're still in guessing mode about Burnham's concrete plans for the economy. Burnham becoming the next prime minister is not confirmed yet, but a lack of competition and polling websites suggests an almost certain chance. The inflation story remains the primary focus of markets, but the additional political uncertainty can add to the risk premium. In theory, Burnham pursuing an expansionary fiscal policy could pose further upward pressure on rates. Higher government spending in the near term would further feed the hawkish narrative, whilst more gilt issuance would add to the term premium.

We estimate that the risk premium for 10Y gilt yields has been creeping higher to around 15bp, and there is room to rise more. In the weeks leading to Reeve's budget presentation in November, we estimated a risk premium of around 25bp. Burnham has expressed his support for the fiscal rules, which has eased concerns, but even within the existing framework there is room for significant economic reforms. Also, Burnham's choice of a Chancellor can be important for markets. So whilst our baseline doesn't see much upward risk in terms of rates, we do acknowledge that political uncertainties are likely to keep upward pressure on gilts.

## Tuesday's events and market view

The data highlight will be a long list of country PMIs. The eurozone composite indicator is expected to nudge up slightly from 48.5 to 49.2, which would still be in contractionary territory. Consensus sees the UK composite PMI tick up to 50.5, just about in positive territory again. The forecast for the US composite PMI is an improvement from 51.5 to 52.1. Other data includes the Richmond manufacturing index and US ADP weekly employment numbers.

The Netherlands will auction €2bn of 30y DSL, Germany will auction €5bn of 2y Schatz, and the US will auction $69bn of a new 2y note.

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### Disclaimer

Article | 23 June 2026 FX

# FX Daily: Focus remains on yen and sterling

The options market appears to be pricing in a greater chance of imminent JPY FX intervention ahead of the US-Japan finance ministers meeting. In the UK, sterling rallied on hopes that market-friendly Wes Streeting will become the Chancellor in a new government led by Andy Burnham. The dollar remains firm on the US-EU divergence narrative

Wes Streeting, a frontrunner to become the UK's next chancellor, is considered a market-friendly choice

## USD: Some upside risks persist

The dollar has firmed up in a risk-off-leaning start to the week for markets. US bond yields have continued to move higher, in dissonance with European rates. It's a dynamic affecting the whole curve, which clearly underscores expectations of US divergence on growth, inflation and monetary policy – which are underpinning the current strong USD momentum. For now, we continue to see upside risks in the near term for the greenback.

The yen's weakness remains firmly on the market's radar this week. Japanese Finance Minister reserve data showed a drop in US Treasury holdings in May of around $75bn, not far from the size of the April-May intervention ($73bn). This has raised some questions about potential unease at the US Treasury, which has been closely watching foreign selling.

That dynamic could argue for more patience before another intervention, but rising short-dated USD/JPY implied volatility suggests markets are increasingly positioning for renewed action. US Treasury Secretary Scott Bessent and Japan's Finance Minister Satsuki Katayama are set to hold talks after Katayama said the two sides had agreed to take "bold steps" in currency markets. If the Bank of Japan sticks to its preference of intervening around holidays when liquidity is thinner, the period around 4 July (which is a Saturday) offers the next window of opportunity. But there's a good chance it might act before.

US S&P Global PMIs are today's main data release, and services are expected to show a modest improvement. With European PMIs out on the same day, the data could feed into the divergence narrative, although the releases are typically of limited market impact.

Fespeak remains a more interesting thread to follow this week. Today, we'll hear from John Williams, who is a dovish-leaning voice and potentially among those projecting no hikes this year. Let's see if he's willing to give some pushback against a market fully pricing in two hikes by March 2027.

*Francesco Pesole*

## EUR: Lagarde's dovish tilt softens euro

The euro came under modest pressure yesterday after ECB President Lagarde told EU lawmakers there is no need to step up the monetary response to the war, as she has confidence that inflation is headed back to the target in the medium term. It was a rare dovish-leaning comment, as the ECB has mostly tried to endorse the market's hawkish bets in the past three months.

Still, the dovish repricing was quite small (around 2bp in the 2-year swap rate), and a rate hike in 3Q remains largely priced in (19bp). Perhaps, Lagarde is attempting to make sure markets don't attempt to price in a July move, whose implied probability dropped from 17% to 10% after her comments yesterday.

In any case, it's hardly a positive development for the euro at a time when the dollar remains well-supported by both data and Fed communication (at least in-meeting). We still expect a test of 1.1400 in the near term.

Today, PMIs should show some marginal improvement thanks to lower crude prices, but growth concerns are likely to remain present and cap the rebound. Any substantial disappointment in PMIs would probably endorse a kind of "damage done" narrative that could keep the euro weaker for longer.

*Francesco Pesole*

## GBP: Growing bets Streeting will be next chancellor

After the resignation of Keir Starmer as prime minister, market attention has shifted to who will take the chancellor's role in the new government, which is almost certainly going to be led by Andy Burnham.

The pound had a decent run yesterday after former health secretary Wes Streeting – a centrist figure within Labour – announced he would back and not challenge Burnham's PM bid. That could mean a quick transition, with Burnham potentially being coronated as the new PM as early as 16-17 July, and crucially prompted bets that Streeting will take the chancellor job. Streeting is generally considered a more market-friendly pick than Ed Miliband, reportedly the other main candidate for the job.

EUR/GBP erased the small 0.2% overvaluation we estimated it was holding before Starmer's resignation – which we didn't deem indicative of actual political risk premium – and is now trading around 0.3% below its short-term fair value. Sterling could see a further modest lift if Streeting is confirmed as chancellor, but risks from here look skewed to the downside. Markets appear optimistic about the transition, yet history shows that even limited budget concerns can trigger disproportionate moves in gilts and GBP.

Regardless of politics (rarely a sustainable driver of sterling), we keep favouring higher EUR/GBP on the back of a dovish view (no hikes) on the Bank of England, and expect a return above 0.870 this summer. UK PMIs today may show some improvement, but they typically carry limited weight for the BoE.

*Francesco Pesole*

## HUF: NBH easing restart unlikely to derail forint resilience

The National Bank of Hungary is likely to cut rates by 25bp to 6.00% today, restarting easing after February's cut and the pause triggered by the US-Iran conflict. HUF has gained around 6.2% versus EUR since April's general election and recently reached 350 EUR/HUF, our mid-year target. The REER is close to its 2008 highs, although HUF still looks cheap versus regional peers, leaving some room for further appreciation. On inflation, May surprised to the downside at 1.8% YoY, well below market and NBH expectations.

With the lowest inflation rate in the region and inflation below target, markets are pricing around 125bp of cuts this year and an NBH landing zone near 4.75% next year. This does not look stretched versus 2024 pricing, and we expect markets to price more cuts once easing resumes. With long positioning concentrated at the long end, we expect further near-term bull steepening. FX implications are less clear. Normally, rate cuts would weaken HUF, but current FX support comes from positive sentiment and strong demand for HUF assets after the April election. Cuts therefore do not necessarily imply weakness, especially with the market's already dovish pricing.

Still, deteriorating carry may reduce HUF's appeal. We see this stabilising EUR/HUF rather than driving it much higher, with vol likely to compress. Any upward correction should attract fresh interest at higher levels; a stronger USD and NBH cuts could take EUR/HUF toward 355 in the short term, where resistance may emerge.

*Frantisek Taborsky*

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### Disclaimer

Article | 23 June 2026 COMMODITIES DAILY

# The Commodities Feed: Oil sells off as US eases sanctions on Iran

Oil prices weakened as the US announced a temporary sanctions waiver on Iranian oil exports

## Energy - Iranian sanction waiver

Oil prices came under further pressure yesterday, with ICE Brent settling 3.3% lower. The gradual increase in oil flows through the Strait of Hormuz continues to weigh on the market, while positive signals from US-Iran talks in Switzerland have weighed on sentiment. The real downward price pressure yesterday came from the US issuing a 60-day licence, which allows Iran to export oil. While the market sold off on this development, it shouldn't be too surprising. This was one of the conditions in the US-Iran Memorandum of Understanding (MoU). Iran had already started ramping up exports following the lifting of the US blockade. This sanctions waiver will open more markets for Iran to sell its oil, including the US.

Looking ahead, the key uncertainty remains how quickly oil flows through the Strait of Hormuz can normalise. Obviously, this depends on how quickly upstream oil production in the Persian Gulf can return. While the consensus is that this normalisation will take months rather than weeks, price action in the oil market suggests a more rapid recovery. Clearly, the evolution of US-Iran talks will be crucial to how quickly energy flows resume. As we've seen in recent days, the ceasefire remains fragile. There's a very real risk of a further flare-up in tensions.

## Metals – Copper rises

LME copper prices edged higher yesterday, supported by reports of progress in US-Iran talks. This bolstered expectations for uninterrupted transit through the Strait of Hormuz and eased inflation concerns. Market fundamentals also remained supportive, with inventories continuing to decline across exchanges. SHFE stocks fell to the lowest level since December 2025, while LME stocks hit March 2026 lows.

Data from China's National Bureau of Statistics, meanwhile, showed refined copper output rose 2.2% year-on-year to 1.3mt in May. Output was supported by higher sulphuric acid by-product prices, which boosted smelter margins and encouraged stronger operating rates.

In other metals, data from the International Aluminium Institute (IAI) showed that global primary aluminium output rose 3.5% month-on-month to 6.2mt in May. This reflects higher production across most major regions. However, the aluminium market is still expected to remain in deficit this year. Supply disruptions linked to the Middle East conflict have removed an estimated 3mt of production from the market. Lost capacity is unlikely to return quickly given the lengthy restart process for smelters. We continue to forecast a global aluminium deficit of around 1.8mt this year.

China's aluminium production rose 2% YoY to 3.8mt in May as stronger margins supported smelter utilisation rates. Aluminium exports continued to increase, rising 16% YoY in May, supported by stronger international prices. However, further production growth remains constrained by government capacity caps.

Aluminium production increased across Europe and Asia ex-China in May, while Gulf output remained more than 35% below year-ago levels due to ongoing supply disruptions linked to the Iran conflict.

## Agriculture – CS Brazil sugarcane crush

The latest fortnightly report from the Brazilian Sugarcane and Bioenergy Industry Association (UNICA) shows that sugar cane crushing in Central-South Brazil stood at 41.6mt over the second half of May. This is down 13.1% from a year ago. Sugar production fell 25.6% YoY to 2.2mt, as mills diverted more cane towards ethanol production. With sugar prices trading below ethanol parity, it makes sense for producers to increase their ethanol mix. Cumulative sugar production so far this season stands at 6.8mt, down 2% YoY, while the cumulative cane crush has risen 15.8% YoY to 144.7mt.

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